

Module 10: Planning the Audits

Audit Criteria and Objectives

1. Audit Criteria:
 - a. Standards to be audited against, such as ISO 9001 or ISO 27001.
 - b. Defined by the audit client and certification body.
 - c. Auditors should be competent in the relevant standards; for combined audits, not all team members need to know every standard.
2. Audit Objectives:
 - d. Define what the audit aims to achieve, which may include:
 - e. Assessing compliance with management system standards (e.g., ISO 40001).
 - f. Verifying that the organization follows its own procedures.
 - g. Ensuring compliance with legal and other obligations.
 - h. Evaluating the effectiveness of the management system in meeting its goals.
 - i. Identifying potential areas for improvement.
3. Purpose of Objectives:
 - j. Provided by the certification body and outline the audit's purpose.
 - k. Help focus the audit on achieving specific outcomes, such as risk control, compliance, and performance improvement.

Audit Scope

1. Definition:
 - a. Specifies the “what” and “where” of the audit, such as which sites and processes are included.
2. Inclusions and Exclusions:
 - b. Clearly outlines what parts of the organization are covered (e.g., only facilities management).
 - c. Notes any exclusions, such as off-site locations or specific processes not included in the audit.
3. Determination and Importance:
 - d. Typically set by the audit client and certification body, not the lead auditor.
 - e. Essential for creating an accurate audit plan to ensure correct locations and processes are audited.

Selecting Auditing Methods

1. On-site Human Interactions:
 - a. Methods include conducting interviews, using questionnaires or checklists, site visits with questions, and document reviews with the auditee.

2. Off-site Human Interactions:
 - b. Similar methods can be used remotely, such as interviews via phone or video conferencing.
3. On-site No-Human Interaction:
 - c. Involves reviewing documents, evaluating data, observing activities, and conducting sampling or analysis without the auditee's involvement.
4. Off-site No-Human Interaction:
 - d. Examples include reviewing data or documents remotely.
5. Planning Considerations:
 - e. Choose methods based on audit objectives, scope, and criteria.
 - f. Effective audit plans typically incorporate a mix of methods to gather comprehensive evidence, as theoretical procedures may differ from actual performance.

Sampling Evidence in Audits

1. Justification:
 - a. Sampling audit evidence is a valid and necessary process.
2. Standards Setting:
 - b. Lead auditors should establish consistent sampling standards with their team, ensuring compliance with certification body requirements.
3. Pre-Audit Agreement:
 - c. Agree on sampling rates with auditors before the audit and include them in the audit plan.
4. Flexibility:
 - d. Allow flexibility for auditors to explore audit trails if concerns arise, promoting effective auditing practices.
5. Minimum vs. Maximum Sampling:
 - e. Define minimum sampling rates, but let auditors use their judgment for maximum sampling to avoid restricting their auditing capability.

Types of Remote Auditing Techniques

1. Computer-Assisted Audit Techniques (CATs):
 - f. Utilize software to automatically evaluate data and information, though not widely used in management system audits yet.
2. Communication Methods:

- g. Range from simple emails to video conferencing, teleconferencing, instant messaging, and collaborative working platforms.
- 3. No-Human Interaction Methods:
 - h. Document reviews, data analysis, and evaluations can be effectively conducted remotely without face-to-face communication.
- 4. Surveillance Techniques:
 - i. Use of technologies like CCTV for remote observation, though concerns about privacy limit this practice.
- 5. Growing Opportunities:
 - j. Advances in technology provide increasing options for incorporating remote auditing techniques into audit plans.

Deciding When to Use Remote Auditing Techniques

- 1. Criteria for Use:
 - a. Decision to use remote auditing techniques should be based on audit objectives, scope, criteria, and the type of evidence needed.
- 2. Technology and Competency:
 - b. Consider the available technology and the auditor's competency in using it.
- 3. Certification Body Guidelines:
 - c. Follow any processes established by the certification body regarding the use of remote auditing techniques.
- 4. Meeting Audit Objectives:
 - d. Assess whether remote auditing can effectively meet audit objectives without compromising the audit quality.
- 5. Cost-Saving Pressure:
 - e. Avoid using remote techniques solely for cost-saving purposes; prioritize meeting audit objectives and enhancing the audit process.
- 6. Supplemental Use:
 - f. Consider using remote auditing as a supplemental method alongside on-site auditing, potentially including it in the audit plan to save time or enhance efficiency.

Planning the Use of Remote Auditing Techniques

- 1. Inclusion in Audit Plan:
 - a. Clearly document remote auditing techniques in the audit plan, specifying when and what criteria will be tested.

2. Team Roles:
 - b. Ensure all team members understand their roles in using remote auditing techniques.
3. Identifying Techniques and Information:
 - c. Develop a plan that identifies the specific remote techniques to be used and the information to be gathered.
4. Equipment and Software:
 - d. Capture details of any software or equipment needed for remote auditing.
5. Competency Communication:
 - e. Communicate with both auditees and auditors about the necessary competencies for using the planned software or equipment.
6. Impact on Team Dynamics:
 - f. Consider how remote auditing affects team communication and collaboration, especially if auditors are in different locations.
7. Documentation in Audit Report:
 - g. Include a note in the audit report to clarify when remote auditing techniques were used.

Selecting the Audit Team

1. Audit Preparation:
 - a. The audit team selection occurs after defining the audit objectives, scope, criteria, and methods.
2. Team Size and Competencies:
 - b. Determine the number of auditors needed and their required competencies based on the audit's specifics.
3. Knowledge and Understanding:
 - c. Auditors should have knowledge of the organization's operations and an understanding of the audit criteria.
4. Personal Qualities:
 - d. Consider auditors' personal behavior and qualities to ensure alignment with auditing principles.
5. Pre-Audit Contact:
 - e. If unfamiliar with auditors, contact them beforehand to assess their experience and understanding of the business.
6. Pressure to Compromise:
 - f. Be cautious of pressure to select auditors based solely on availability; prioritize competence.

7. Lead Auditor Responsibility:

- g. As the lead auditor, ensure you are comfortable with the selected team. If necessary, reschedule the audit to include competent auditors.

Managing Audit Risk

1. Types of Risks:

- a. Consider risks to the business from audit activities, including product conformity and personnel safety.
- b. Identify security risks related to data or information provided by auditees.

2. Risk Mitigation:

- c. Develop a mitigation plan in collaboration with the auditee to address identified risks.

3. Audit Team Risks:

- d. Evaluate risks to the audit team during on-site activities, including:
 - e. Travel risks and weather conditions.
 - f. Personal security and safety during the audit.
 - g. Welfare considerations (e.g., food, restroom facilities, suitable workspaces).

4. Audit Objectives:

- h. Ensure the audit meets its objectives while managing risks related to auditor competencies and auditee responsiveness.

5. Formal Risk Plans:

- i. For larger or more complex audits, create a formal risk identification and control plan to reduce unexpected issues.

Preparing the Audit Plan

1. Purpose of the Audit Plan:

- a. The audit plan documents all relevant information about the audit and how it aligns with audit objectives.

2. Contents of the Plan:

- b. Include audit objectives, scope, and criteria.
- c. Clearly identify audit methods, including any remote auditing techniques and sampling arrangements.

3. Roles and Activities:

- d. Outline the roles and responsibilities of audit team members.

4. Scheduling Details:

- e. Specify times and locations for:
 - f. Meetings (opening and closing).

- g. Site visits and interviews.
- h. Debriefing sessions and auditor caucus time.
- 5. Logistical Considerations:
 - i. Account for logistics such as distances, site size, language issues, and organizational schedules (e.g., lunch breaks, working days).
- 6. Preparation and Evaluation Time:
 - j. Allow time for preparing audit activities and evaluating audit findings.
 - k. Establish a clear point to cease evidence gathering and begin assessment of findings.

Allocating Audit Activity to Auditors

- 1. Match Activities to Skills:
 - a. Choose audit activities based on each auditor's skills, knowledge, and experience.
- 2. Individual or Group Work:
 - b. Decide whether auditors will work individually or in pairs/groups to leverage different strengths and balance weaknesses.
- 3. Specify Activities in Audit Plan:
 - c. Clearly outline the activities assigned to each auditor in the audit plan.
- 4. Communicate Roles:
 - d. Ensure auditors are informed about their roles and agree with the allocations, ideally during pre-audit discussions.
- 5. Flexibility in Reallocation:
 - e. Be prepared to reallocate tasks during the audit if circumstances change, ensuring the auditor remains the best fit for their assigned activities.

Making Contact with Audit Client

- 1. Discuss Audit Plan:
 - a. Review and agree on the audit plan details to ensure feasibility.
- 2. Schedule Logistics:
 - b. Confirm scheduling for meetings, interviews, and site visits.
 - c. Ensure staff availability and address site logistics, including guides and transportation.
- 3. Request Audit Evidence:
 - d. Ask for necessary documents or information from the audit client in advance.
 - e. Provide a list of required evidence for preparation.
- 4. Assess Risks:

- f. Discuss any potential risks that could impact the audit plan, including unusual circumstances or legal issues.
- 5. Health and Safety Arrangements:
 - g. Confirm health, safety, and welfare measures for the audit team.
 - h. Check on access controls, necessary permits, and security measures.
- 6. Prepare Audit Client:
 - i. Ensure the audit client understands what to expect during the audit and addresses any concerns or questions they may have.

Preparation of Audit Resources

- 1. Identify Audit Resources:
 - a. Determine all necessary tools for the audit, including equipment, documentation, and software.
- 2. Review Existing Documentation:
 - b. Check certification body procedures for required documentation.
 - c. Assess if additional documentation is needed, such as checklists or sampling plans.
- 3. Ensure Equipment Readiness:
 - d. Prepare equipment like laptops, projectors, and PPE.
 - e. Confirm any necessary calibration of equipment before the audit.
- 4. Prepare Software and Presentation Materials:
 - f. Organize software and any prepared documents for use during opening and closing meetings.
- 5. Logistical Arrangements:
 - g. Consider travel and accommodation logistics for the audit team.
 - h. Ensure all arrangements are in place, even if not directly responsible for them.